

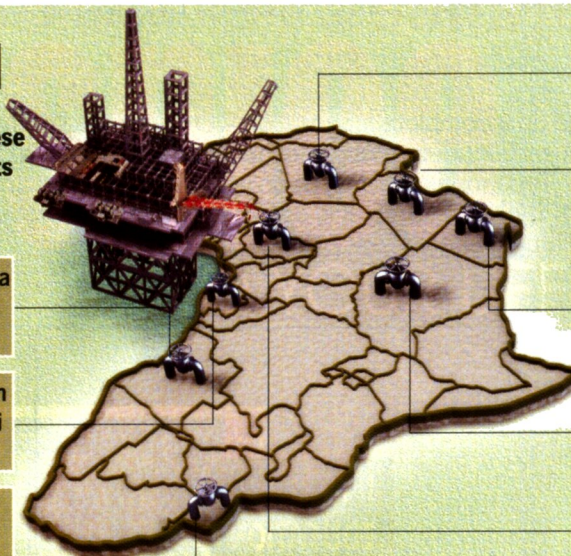
AFRICAN SAFARI

India is offering a package of aid and capacity-building to these countries in return for oil assets

ANGOLA: India lost to China on a major oil exploration bid. Now working on an aid package.

GABON: Oil India Ltd and Indian Oil have stakes in Block Shakti for oil exploration.

MOZAMBIQUE: Some private Indian oilcos have sought official support to bid here.



ALGERIA: India is looking at this country for oil exploration and marketing of petro products.

LIBYA: Gaddafi regime is being engaged to secure oil exploration and contracts.

EGYPT: OVL has 70 per cent stake in Block 6 here. India wants to bid for more blocks.

SUDAN: India owns three oil blocks and is working on a petro products pipeline project.

NIGERIA: India gets bulk of its oil in Africa from Nigeria, but security remains a key concern.

with aid diplomacy specifically aimed at consolidating its energy assets.

Since 70 per cent of Africa's oil production is concentrated in west Africa's Gulf of Guinea, India has pledged \$500 million (Rs 1,968 crore) in concessional lines of credit to eight west African countries—Burkina Faso, Chad, Equatorial Guinea, Ghana, Guinea-Bissau, Ivory Coast, Mali and Senegal—with whom it has formed the TEAM-9 initiative.

At the Government level, a new beginning has been made. While the Ministry of Petroleum is doing the leg work and the minister is wooing potential suitors, the Ministry of External Affairs (MEA) is providing effective backup. Last month, MEA created an energy security unit to ensure close coordination with the petroleum ministry, the power ministry and the oil companies. Officials say a word has been sent to supplement the efforts of companies in private and public sectors to help them bid and acquire energy assets abroad. "Our aim is to channelise our diplomatic efforts and to act as a nodal point to assist their efforts in acquiring energy assets abroad," says a senior MEA official.

India realises that it is pitted against a firm rival and so its message is clear that unlike China, which has flooded Africa with its own workers, India wants to build a skilled African workforce that will also assist in development. While China is offering monetary sops, New Delhi wants to



STRIKING A DEAL: Deora and Mukherjee with African oil ministers

replicate its experience in countries like Afghanistan where its support in infrastructure projects has brought massive goodwill. Recently, Mukherjee inaugurated an e-network initiative that will enable Delhi to reach out to people in Africa's 53 countries.

However, India still has a long way to go before it can catch up with an aggressive China. Unlike China, India has to tread the thin line between supporting totalitarian regimes and looking the other way owing to its oil interests, which may damage its global reputation. For instance, in the case of Sudan, when many countries are condemning its excesses in the Darfur province, India's oil interests have prevailed upon it to support any resolution against Khartoum at the UN and other forums.

In Sudan, OVL has invested about \$720 million (Rs 2,834 crore) for a 25 per cent stake in the Upper Nile oilfield and plans to invest \$200 million (Rs 787 crore) more in a 741-km pipeline. Another challenge before India is to safeguard its oil assets to ensure steady supply. It will have to factor in the threat of kidnappings that plagues oil companies in countries like Nigeria.

Though the Government has decided to host the African ministers for the next round in 2009, and engagement with Africa is expected to grow, what is required is a sustained effort. If need be, India should have a summit-level dialogue with key African leaders to show them the sincerity of its interest. While diplomacy will drive its African safari, it should be willing to play for long-term sweepstakes in the continent. ■